

Housing Market, Migration, and Private Sector Reforms in Cuba

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Abstract

Cuba’s 2010–2013 *Lineamientos* package introduced three reforms in close sequence: a legalization of residential property sales (Decreto-Ley 288, November 2011), an abolition of the exit-permit requirement (Decreto-Ley 302, January 2013), and an expansion of authorized self-employment (*cuentapropismo*). This paper develops a migration model to derive timing predictions for each reform’s effect on emigration, and compares them with patterns in OECD International Migration Database foreign-born stocks and DHS lawful permanent resident (LPR) admissions. Cuba’s emigration rate nearly doubled between 2010 and 2024; the post-reform acceleration is visible in every destination and in the U.S. LPR series. The timing of the response and the magnitudes of housing wealth relative to *cuentapropismo* income flows point to the housing reform as the most important component of the package, though the absence of a counterfactual prevents causal claims about the magnitude of each reform. The paper contributes by analyzing migration under liquidity constraints in a setting where the binding household wealth is institutionally-suppressed housing.

1 Introduction

What happens to migration when a government returns to individuals the right to sell their own homes? Decreto-Ley 288 (November 2011), Cuba’s property reform, offers a rare opportunity to study this question: a sharp, nationally uniform legalization of residential

property sales in a country where the housing market had been suppressed since 1960. The reform did not arrive in isolation. It belonged to the broader *Lineamientos* package approved at the Sixth Party Congress in April 2011, which also expanded authorized self-employment (*cuentapropismo*) beginning in late 2010. Fourteen months later, Decreto-Ley 302 (January 2013) abolished the exit permit and codified departure from the island as a right. This paper asks how this joint reform package changed the household’s decision to leave Cuba.

The institutional setting before the reforms makes the question sharper. While exit permits were nominally available, Cubans could not sell their largest asset before leaving: residential property was legally non-transferable for cash, and any household abroad more than eleven months forfeited its home to the state (Peters, 2012, 2014). Even if they transferred or donated the property to someone else, say, a family member, if the original owner left the country for good, this transfer would be nullified and the house would become a state asset.

This paper treats the reforms as a single institutional package, reflecting their joint origin in the 2011 *Lineamientos*. The package operates on many margins of a household’s decision to migrate: the wealth available to finance exit, the access to a better living standard because of *cuentapropismo*, and the administrative cost of leaving. This paper follows Sjaastad (1962) and Bazzi (2017), where migration is treated as an investment with costs and benefits, and households differ in their stock of liquidatable wealth. The 2011 housing reform relaxes a cash-in-advance constraint by allowing households to convert their largest asset into portable cash; the *cuentapropismo* expansion raises the present value of staying in Cuba for households who become self-employed; and the 2013 migration reform reduces the administrative and expected political costs that produced a population of discouraged non-applicants.

A modern empirical literature has shown that fixed migration costs interact with wealth and credit access to determine who emigrates: cash transfers in Mexico (Angelucci, 2015), agricultural shocks in Indonesia (Bazzi, 2017; Kleemans, 2014), and microcredit access in China (Cai, 2020). All these cases are characterized by “liquidity constraints” on the side

of households that decide to migrate once their income or wealth increases. Cuba fits this literature with one institutional twist: the binding wealth is the household’s primary durable asset, and the policy change makes existing wealth transferable rather than giving them new wealth in the sense of transfers, credit, or positive income shocks.

This paper contributes to the literature by analyzing the liquidity constraints of migration in a setting where the main binding wealth is housing, a single institutionally-suppressed asset class. Although the other reforms are also relevant, the analysis of the case points towards housing being the most important factor in the equation. The descriptive evidence is consistent with the housing reform as the most important component of the package.

The next sections describe Cuba’s reform package and the institutional context, develop the theoretical framework, present descriptive evidence consistent with the model, and conclude.

2 Cuba’s Liberalization Reforms, 2010–2013

[Corrales \(2012\)](#) describes the period leading up to the 2011 reforms as two decades of significant economic deterioration. The Special Period that followed the loss of Soviet subsidies in the early 1990s affected the country’s productive structure deeply, and set back many of the “successes” achieved by the revolution. Growth happened between 2001 and 2008 but never made it back to pre-1991 standards. The 2008–2010 global recession then hit Cuba especially hard because its main trading partners (Europe, mainly Spain) and main subsidizer (Venezuela) were facing a tough time economically. By 2011, Cuba’s public debt had reached 125 percent of GDP, and Raúl Castro himself described Cuba’s internal markets as “decapitalized.”

This situation prompted a transition in the Cuban economy, and it came in consonance with a leadership transition. Fidel Castro transferred power to his brother Raúl in 2006, and between 2008 and 2011, Raúl supervised the Sixth Congress of the Cuban Communist

Party, which tried to change some of the older institutions established by his brother.

This congress approved the *Lineamientos de la Política Económica y Social del Partido y la Revolución*, the policy document defining the updating of the economic model and ratified by the National Assembly the following August (González-Corzo & Justo, 2014, 2017). According to Corrales (2012), the *Lineamientos* were the first time the Cuban government acknowledged that the absence of growth had endogenous causes and that property rights had to be part of the solution (it is not all because of the embargo). The package authorized self-employment in 178 occupations (*cuentapropismo*), legalized residential property sales, and reformed migratory regulations to abolish the exit-permit requirement, policies that had been in place since the early 1960s.

2.1 Housing Market

Before 2011, Cuba’s residential property market was frozen in the structure created by the Urban Reform Law of 1960, which nationalized all rental property and prohibited property sales (Peters, 2014). The only legal mechanism for transferring property was the *permuta*, a regulated swap requiring prior government authorization and prohibiting cash payments (Peters, 2014). This system imposed barter in the Cuban housing market. In practice, informal cash payments were routine, and informal brokers operated openly in Havana. The result was a housing market in which prices existed but were legally unenforceable and unavailable for economic calculation given the level of informality they carried. Additionally, emigrants who stayed abroad more than 11 months forfeited their property to the state, effectively imposing a near-total tax on the household wealth of anyone who chose to leave permanently (Peters, 2012, 2014).

The pre-2011 *permuta* system imposed a double-coincidence-of-wants problem on the Cuban housing market. A legal swap required not only a willing counterparty, but one who wanted *your* house and held the house *you* wanted; the formal contract had to clear this barter coincidence even when informal cash side-payments were made to accompany the

transaction ([Peters, 2014](#); [Grein, 2015](#)). For people moving within the island, this friction was one of the many costs they would have to bear in order to move to another location. Usually, these transactions were made between people within connected social networks, where reputation and community helped enforce informal side-payments. However, since the transaction necessarily involved acquiring another house, these types of deals were not well suited to “cash out” and migrate outside of the island.

Someone selling to finance permanent exit had no symmetric counterparty: they did not want another Cuban house in return, they wanted portable cash sufficient to fund the journey. Even if they secured informal payments, these are not as enforceable as authorized transactions. This is the gap the reform filled. It introduced money as the legal medium of exchange in housing and made the transaction enforceable as a single, terminal sale. What this law adds is therefore not the cash itself, which already changed hands, but the structure: a one-shot, enforceable transaction.

Decreto-Ley 288 (November 2011) legalized property sales at freely negotiated prices, eliminated the prior authorization requirement, and repealed the emigrant forfeiture rule ([Peters, 2014](#); [Association for the Study of the Cuban Economy, 2012](#)). The market response was immediate: by mid-2012, one Havana law firm reported that 75% of its work involved real estate title registration and sales ([Association for the Study of the Cuban Economy, 2012](#)). The reform’s significance for this paper is that it created a legal mechanism through which households could convert their largest asset into liquid wealth for the first time since 1960 ([De Soto, 2000](#)).

Official figures record approximately 80,000 housing transactions in 2013, roughly double the 2012 volume ([Mata, 2017](#)). News reporting from the period describes the market as visibly driven by emigrants. A Havana broker quoted in [Mata \(2017\)](#) observed that the market had been “fueled largely by houses whose owners have plans to emigrate,” and listings tagged “selling to leave, I’m in a hurry” were common.

An analysis by [Morales \(2014\)](#) of 1,239 transactions in the 2013 sample reports an average

residential sale price of approximately \$31,158 in Havana, with substantial variation across the country: provincial prices ranged from approximately \$9,441 in the Isla de la Juventud (lowest) to \$31,864 in Cienfuegos (highest), while within Havana itself prices spanned from \$19,098 in San Miguel del Padrón to \$67,940 in Playa.¹ Between 2013 and 2014, prices dropped significantly across the island, with declines of 27.47 percent in Matanzas, 19.80 percent in Havana, and 16.04 percent in Cienfuegos. Morales attributes these declines to the fact that initial asking prices were inflated relative to what buyers would pay: sellers had too high price expectations.

The post-Decreto-Ley 288 market displays a distinctive asymmetry between the seller side and the buyer side: On the seller side, transactions are concentrated among households intending to migrate; on the buyer side, a substantial share of transactions is funded by diaspora remittances. Because Cuban migrants residing abroad cannot hold legal title in Cuba, U.S.-based investors typically purchase through *testaferros*, who are local Cuban residents that register the transaction on behalf of the buyer outside of the country (Wijburg, Aalbers, & Bono, 2021). The market is therefore internal in legal form but international in operation: the seller is usually a household preparing to migrate, and the buyer is often a resident acting as proxy for a Cuban migrant abroad. Practically, future migrants are on one side of the market, and migrants already living outside are on the other side.

Even after the reform, the mechanics of payment still retained some informality: transactions usually had two parts, with a portion paid in convertible pesos inside Cuba and the other portion delivered in dollars or euros to the seller’s family after emigration (Mata, 2017). This hybrid arrangement offers some evidence that the formal sale is doing real work. If the formal sale was irrelevant, parties would just skip it and structure the deal informally, as they did before 2011. They do not, because the legal transaction registers the transfer of title inside Cuba and gives the money paid outside of Cuba something to bind it.

¹Morales reports prices in convertible pesos (CUC), pegged to the U.S. dollar at one-to-one parity throughout this period. Dollar amounts here are equivalent to the original CUC figures.

2.2 Private Sector and Self-Employment

Private enterprise in Cuba had been effectively eliminated by 1968, when the state extended control over virtually the entire non-agricultural economy ([Columbia University Cuba Capacity Building Project, 2021](#)). A limited reopening came in 1993 with Decreto-Ley 141, which authorized self-employment (*cuentapropismo*) in 117 activities ([Bello Sánchez, 2025](#)). The category survived through the Special Period and the 2000s, but its scope remained narrow: registered *cuentapropistas* stayed below 150,000 through 2010, accounting for a small share of total employment ([González-Corzo & Justo, 2017](#)).

The *Lineamientos* package fundamentally restructured this regime. Beginning in late 2010 and accelerating through 2011, the government expanded authorized self-employment to 178 activities and, for the first time, permitted *cuentapropistas* to hire non-family employees ([González-Corzo & Justo, 2017](#)). Registered *cuentapropistas* grew from approximately 147,900 in 2010 to 424,300 in 2013, an increase of 187 percent in three years. Over the same period, the state sector’s share of total employment fell from 83.8 percent to 73.7 percent. By 2019, the *cuentapropista* category alone supported 617,964 jobs, approximately 13 percent of total national employment ([Bello Sánchez, 2025](#)).

This expansion translated into meaningful income gains relative to the state sector. In a 2014–2015 study of 25 *cuentapropistas*, 72 percent placed themselves in the top three grades of satisfaction with their work and earnings (8–10 on a 1–10 scale), and 96 percent reported having profits after paying taxes ([Mesa-Lago, Veiga González, González Mederos, Vera Rojas, & Pérez-Liñán, 2016](#)). Later surveys document the magnitude of the wage gap: a 2019 study of wages paid by 50 private-sector entrepreneurs found that 41.5 percent of their employees earned over \$200 per month, 46.3 percent earned between \$100 and \$200 per month, and only 12.2 percent earned below \$100 per month, which is a high premium considering the average wage in the state sector is around \$18 per month ([Bello Sánchez, 2025](#)).

However, the income flow generated by *cuentapropismo* remained small relative to the wealth stored in housing. The average residential property in Havana sold for approximately \$31,158 in 2013 (Morales, 2014): using the \$200-per-month upper-tier wage from Bello Sánchez (2025), this represents almost thirteen years of earnings, implying that even high-earning private-sector workers would need a decade or more to accumulate housing-equivalent wealth from labor income alone.

For the household contemplating permanent emigration, *cuentapropismo* does provide a channel for savings accumulation, but housing remained the dominant asset and the primary binding constraint on the lump-sum wealth required to finance exit. Therefore, the income gains are too small to provide the liquidity needed for migrating. On the other hand, the expansion of private sector activity enables people to achieve a higher standard of living, which might also dissuade households from leaving.

One of the professions allowed to work independently in September 2013 were real estate agents. They could be interpreted as the binding institutional change that activated the housing market. However, it does not seem to be a determinant factor: there are records of informal brokers operating openly at Havana’s Paseo del Prado for decades, where Cubans gathered weekly to negotiate *permutas* and informal cash side-payments (Peters, 2014).

This legalization formalized an intermediary function that had been operating informally for decades, lowering the legal frictions and enabling further network expansion even across international boundaries (Wijburg et al., 2021), but it did not create the matching mechanism that the gray market had long supplied. Real estate agents are understood as a complementary institutional layer that enhanced the market Decreto-Ley 288 had created, not a binding institutional change itself.

2.3 Migration

Decreto-Ley 302 (January 2013) subsequently abolished the exit permit and extended the permissible period abroad from 11 to 24 months. Between 2001 and 2011, 99.4 percent of

exit permit applications were approved (Peters, 2012), so the migration reform’s primary contribution was reducing institutional uncertainty rather than removing a binding quantitative restriction. It converted departure from a discretionary privilege to a codified right, removing the state’s residual power to selectively deny exit. Between 2012 and 2013, nonimmigrant visas issued to Cubans by the United States rose substantially, providing a first-pass indication of the reform’s magnitude. However, this timing also coincides with the period in which the post-2011 property market was becoming operational, making it difficult to attribute the migration response to either reform in isolation.

The approval rate, however, only describes applicants. A separate margin of households might have self-selected out of applying because the expected costs (paperwork, risk of post-application reprisal, and selective denial of professionals or dissidents) exceeded the expected gain from a likely but not guaranteed approval. By codifying departure as a right and removing discretionary review, Decreto-Ley 302 addressed this discouraged-non-applicant margin.

The reforms operate on many margins of the household’s exit decision. The 2011 housing reform relaxes a financial constraint on households whose wealth was locked in housing; the *cuentapropismo* expansion serves as an increase in the present value of staying for those who become self-employed; and the 2013 migration reform releases the discouraged non-applicants whose constraint was administrative and expected political costs. The model in Section 3 formalizes these channels.

3 A Model of the Migration Decision Under the Reform Package

I treat migration as an investment with costs and benefits, following Sjaastad (1962). Households differ in three ways: housing wealth h_i , liquid wealth l_i , and the *cuentapropismo*-induced gain in the value of staying π_i . Liquid wealth l_i is small for nearly all households in

this period. Housing wealth h_i is positive for households who own their home and varies substantially across provinces (Morales, 2014). The variable π_i captures the household-specific gain produced by the *cuentapropismo* expansion: it is positive for households who become *cuentapropistas* after late 2010 and zero for the rest of the population.

These variables map into the household's migration decision. The value of staying in Cuba is

$$V_{\text{stay}}^i(t) = V_{\text{base}} + \pi_i, \quad \pi_i > 0 \text{ if } t \geq 2011 \text{ and the household becomes a } \textit{cuentapropista}, \quad (1)$$

where V_{base} is the baseline present value of staying and π_i becomes positive at the *cuentapropismo* reform date. The value of emigrating is V_{dest} , the present value of expected earnings in the destination country, treated as homogeneous across households (even if there is heterogeneous human capital, acquired education and qualifications are hard to validate in destination countries). The total cost of migrating is

$$C(t) = C_{\text{travel}} + C_{\text{app}}, \quad C_{\text{app}} > 0 \text{ if } t < 2013, \quad (2)$$

where C_{app} falls to zero with the January 2013 abolition of the exit-permit requirement. The household's liquidatable wealth is

$$w_i(t) = l_i + h_i, \quad h_i > 0 \text{ if } t \geq 2011 \text{ and the household owns a home}, \quad (3)$$

where housing wealth h_i becomes liquidatable with Decreto-Ley 288's legalization of housing sales in November 2011.

Household i migrates at time t if and only if two conditions hold simultaneously:

$$V_{\text{dest}} - V_{\text{stay}}^i(t) \geq C(t), \quad (4)$$

$$w_i(t) \geq C(t). \quad (5)$$

The net-benefit condition (4) requires that the gain from migrating, net of the opportunity cost of staying, exceeds the cost of migration. The financing condition (5) requires that the household can pay the cost out of its own liquid wealth. Both conditions must clear the same cost threshold; either can be the binding constraint at any given household. The financing channel has been documented across settings: agricultural shocks in Indonesia (Bazzi, 2017), cash transfers in Mexico (Angelucci, 2015), and randomized credit access in China (Cai, 2020).

The two-condition framework yields testable predictions about which reform binds for which households and when.

The 2011 housing reform. Decreto-Ley 288 raises the household’s liquidatable wealth from $w_i = l_i$ to $w_i = l_i + h_i$ for homeowners, with no direct effect on the net-benefit condition. Households for whom $l_i < C(t)$ but $l_i + h_i \geq C(t)$ become able to finance migration. Since l_i was small for nearly all Cuban households and h_i was substantial for homeowners, this group should be large. The prediction is a sharp acceleration of emigration beginning in late 2011 or early 2012. Another prediction the model would make here is that households in provinces with higher house values would migrate at higher rates than households in provinces with lower house values. However, with the data in hand this second prediction cannot be tested.

The *cuentapropismo* expansion. The expansion raises $V_{\text{stay}}^i(t)$ by $\pi_i > 0$ for households who become *cuentapropistas*, with no big effect on the financing condition. The net gain from migrating, $V_{\text{dest}} - V_{\text{stay}}^i(t)$, falls for *cuentapropistas*. *Cuentapropistas* with $V_{\text{dest}} - V_{\text{base}} - \pi_i < C(t)$ could be pulled below the net-benefit threshold and would migrate less on average than non-*cuentapropistas*. The empirical prediction would be a lower migration rate among *cuentapropistas*. Testing this directly requires household-level microdata that Cuba does not make available. However, *cuentapropismo* should on average dissuade households from migrating, so if the effect is big enough, it should make aggregate migration decrease, or at least remain steady despite the other reforms.

The 2013 migration reform. Decreto-Ley 302 reduces $C(t)$ from $C_{\text{travel}} + C_{\text{app}}$ to

C_{travel} , easing both conditions simultaneously. Households just below the cost threshold pre-2013 become able to satisfy the financing condition, and the net-benefit condition expands by the same amount. Given the 99.4 percent approval rate of pre-2013 permit applications, C_{app} was small for those who applied but not zero in expectational terms (the discouraged-non-applicants margin). The empirical prediction would also be an acceleration of emigration starting in 2013.

Since there is no microdata available, and the reforms happened in a very short period of time, testing each one independently is not possible. However, the timing of the emigration response can give us an idea of which of the three predictions dominates. If the housing reform was the binding shift, emigration should accelerate from late 2011 through 2013, once households can convert housing wealth into migration capital. If the permit reform was the binding shift, the acceleration should appear from January 2013 onward, once the administrative cost falls. The *cuentapropismo* channel operates in the opposite direction over the same period, dampening migration among those who become self-employed. Since housing wealth is usually in the tens of thousands of dollars, the housing reform should be the dominant factor in migration decisions for the package of reforms. Section 4 maps these predictions to the available migration data.

4 Descriptive Analysis

Section 3 derived three predictions tied to the timing of each reform. If the housing reform was the binding shift, emigration should accelerate from late 2011 through 2013, once households can convert housing wealth into migration capital; if the permit reform was binding, the acceleration should appear from January 2013 onward, once the administrative cost falls. The third prediction, that the *cuentapropismo* channel dampens migration among those who become self-employed, cannot be tested at the household level for lack of microdata. However, in aggregate there should be a dampening effect that could reduce or flatten total

emigration, a movement that can be checked against the overall emigration series.

The descriptive evidence can only assess whether the observed patterns are consistent with the predictions. There is no counterfactual, so no causal claims about the magnitude of each reform’s contribution can be made. This section presents three pieces of descriptive evidence bearing on these predictions: Cuba’s long-run emigration rate, the annual flow of lawful permanent resident (LPR) admissions to the United States, and a comparison of Cuba’s trajectory with five Caribbean and Central American peers.

The analysis draws on three data sources. The emigration rate combines OECD International Migration Database foreign-born stocks across OECD destinations ([OECD, 2024](#)) with Cuba’s resident population from the World Bank ([World Bank, 2024](#)), available annually from 1995 to 2024. US admissions data come from the DHS Yearbook of Immigration Statistics for FY1995–2023 ([U.S. Department of Homeland Security, 2024](#)). The peer comparison applies the same OECD IMD and World Bank data to 33 Latin American and Caribbean origin countries.

Cuba’s emigration rate has risen continuously since the mid-1990s and accelerated visibly after the 2011–2013 reform package. Measured across all OECD destinations (Figure 1), the rate climbed from 7.5 percent in 1995 to 11.3 percent by 2010 and to 18.7 percent by 2024. The post-2010 gain of 7.4 percentage points is nearly twice the pre-2010 gain of 3.8 percentage points, and over a shorter period. Because OECD membership expanded during the sample period and reporting completeness varies across destinations, this all-OECD measure carries an upward bias when new countries join OECD or start reporting. Restricting to the United States, the only destination with continuous reporting over 1995–2024, produces a similar trajectory: the rate climbs from 7.5 percent in 1995 to 9.8 percent in 2010 and 15.7 percent in 2024, a post-2010 gain of 5.9 percentage points.

The United States accounts for roughly four-fifths of the Cuban diaspora, and the annual flow data confirm the post-reform acceleration with finer resolution. Cuban LPR admissions to the United States rose sharply after 2013 (Figure 2), jumping from approximately 32,000

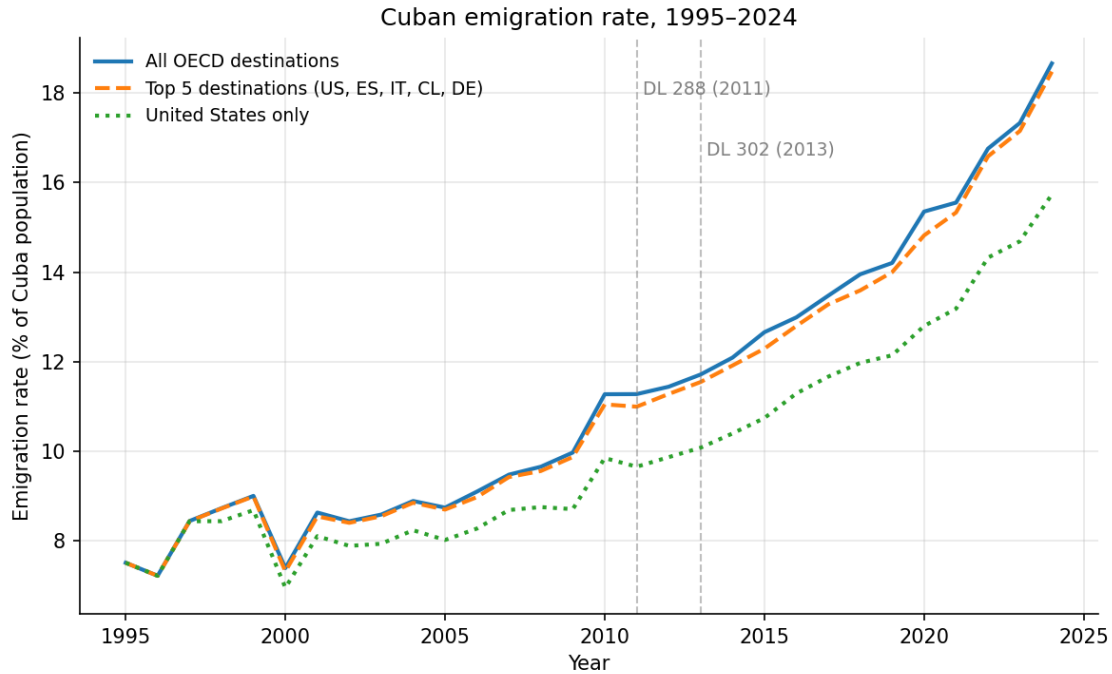


Figure 1: Cuban emigration rate, 1995–2024, measured as Cuban-born stock in OECD destinations divided by Cuba’s resident population. Three destination panels are shown: *All OECD destinations* (every reporting country each year, with the panel expanding as new OECD members begin reporting), *Top 5 destinations* (US, Spain, Italy, Chile, and Germany, the five largest Cuban-born populations in 2024), and *United States only* (the only destination with continuous reporting over the full 1995–2024 period). Dashed vertical lines indicate the 2011 housing reform (Decreto-Ley 288) and the 2013 migration reform (Decreto-Ley 302). Source: OECD IMD foreign-born stocks; World Bank population.

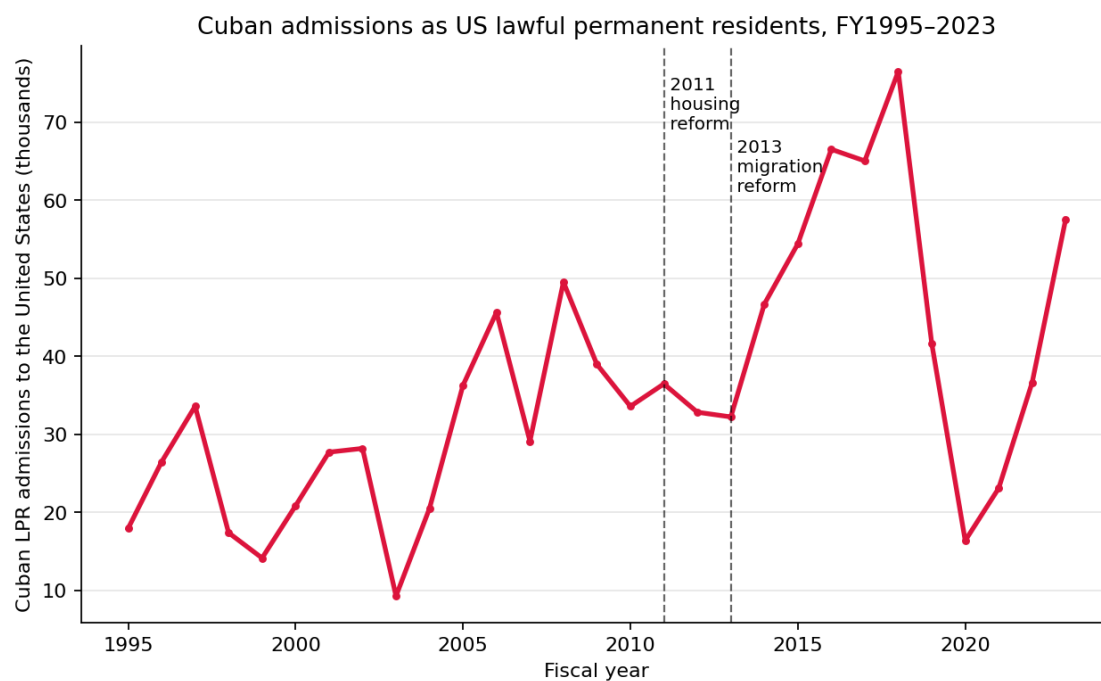


Figure 2: Cuban lawful permanent resident admissions to the United States, FY1995–2023. Dashed vertical lines indicate the 2011 housing reform (Decreto-Ley 288) and the 2013 migration reform (Decreto-Ley 302). Source: DHS Yearbook of Immigration Statistics, Table 3.

in 2013 to 47,000 in 2014 and reaching a peak of 76,000 in 2018. The timing of this jump is consistent with the 2011 housing reform: under the Cuban Adjustment Act of 1966 (Fandl, 2017), Cubans become eligible for lawful permanent resident status only after one year and one day of physical presence in the United States, so LPR admissions in 2014 reflect arrivals during 2012–2013, the first cohort that could plausibly have responded to the November 2011 legalization of property sales. Subsequent declines reflect the contraction of the migration corridor under the 2017 termination of the wet-foot/dry-foot policy and the 2020–2021 COVID-related border closures.

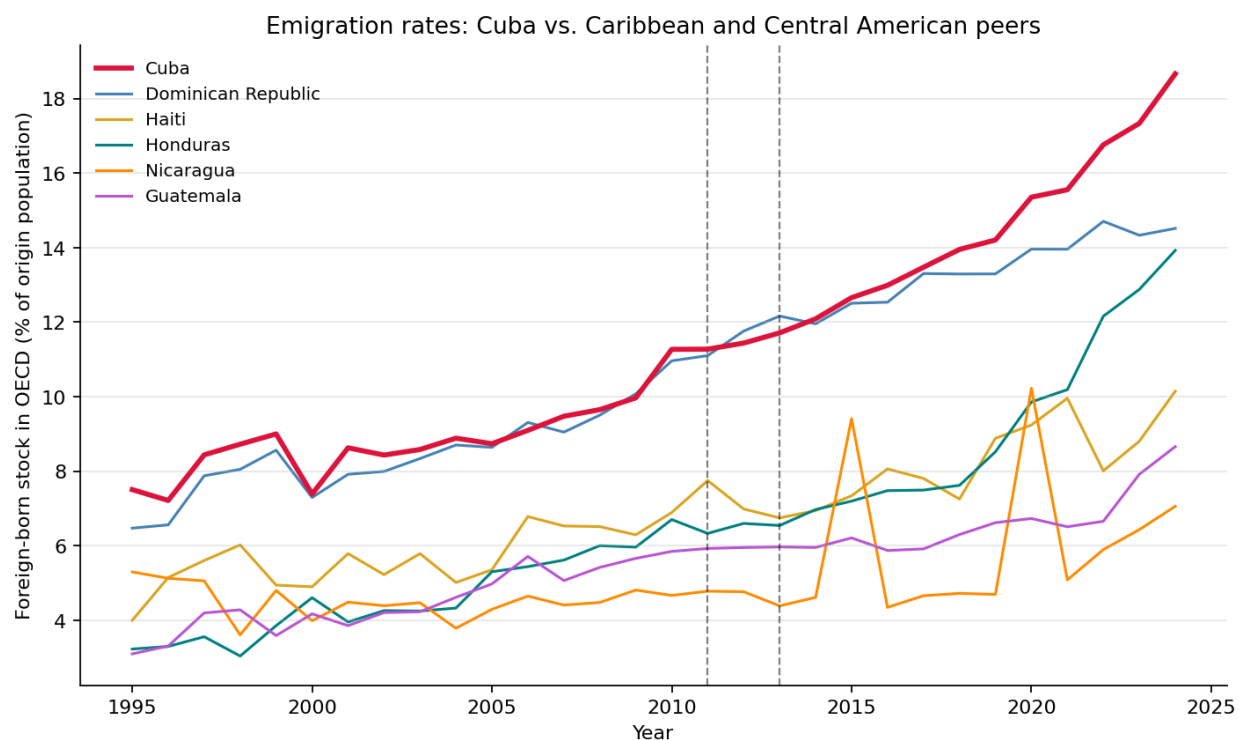


Figure 3: Emigration rates: Cuba versus five Caribbean and Central American peers, 1995–2024. Each series shows foreign-born stock in OECD destinations as a share of origin-country population. Dashed vertical lines indicate the 2011 and 2013 reforms. Peer set: Dominican Republic, Haiti, Honduras, Nicaragua, and Guatemala. Source: OECD IMD foreign-born stocks; World Bank population.

The Cuban acceleration is not a region-wide phenomenon. Figure 3 compares Cuba’s emigration rate to five Caribbean and Central American peers. Cuba and the Dominican Republic tracked each other closely from 1995 through 2011, both rising at approximately

0.3 percentage points per year. After 2013, Cuba pulls away: by 2024, Cuba reaches 18.7 percent while the Dominican Republic remains at 14.5 percent, a gap of more than four percentage points. Haiti and Guatemala, which face similar US-focused migration corridors and similar baseline emigration rates, show no comparable break in trajectory. Honduras and Nicaragua also accelerated post-2011, but their accelerations track documented push factors (gang violence in Honduras worsening, and Ortega’s 2018 crackdown in Nicaragua) rather than institutional reforms of the housing or migration regimes.

Taking the three pieces of evidence together, the *Lineamientos* package produced a clear and sustained increase in Cuban emigration. The timing of the response and the wealth magnitudes documented in Section 2 point to the housing reform as the most important of the three components. The descriptive evidence does not allow any causal claims about each reform’s contribution absent a credible counterfactual, but the patterns are consistent with the housing reform as the binding shift behind the post-reform acceleration.

5 Conclusion

When Cuba’s 2011–2013 *Lineamientos* package liberalized housing, expanded self-employment, and codified the right of departure, emigration accelerated to nearly twice its pre-reform pace, consistent with the model above, in which the reforms operate on the wealth and administrative-cost margins of the household decision. The 2011 housing reform raises the household’s liquidatable wealth by allowing housing to be sold for cash, and the 2013 migration reform reduces the administrative cost that produced a population of discouraged non-applicants. The *cuentapropismo* expansion raises the present value of staying for those who become self-employed, partially offsetting the migration incentive. The post-reform inflection in the emigration series is consistent with the housing reform as the most important driver, with the permit reform and *cuentapropismo* expansion contributing secondary effects.

The theoretical contribution is to analyze the liquidity constraints of migration in a

setting where the binding household wealth is a single, institutionally-suppressed asset class. In the canonical version of the framework, liquidity constraints bind because households are too poor to finance the move. In the Cuban setting, households already hold substantial wealth that is simply not legally convertible to cash. The reform changes what counts as wealth, not how much wealth exists. Decreto-Ley 288, even though informal markets already existed for *permutas*, created a market of housing, expanding quickly, fueled by future migrants on one side, and past migrants on the other (operating through *testaferros*).

The analysis carries several limitations. The unreliability of Cuban administrative data precludes causal inference and quasi-experimental methods that would otherwise sharpen the empirical claims. The descriptive evidence relies on OECD destination data, which captures roughly 97 percent of the Cuban diaspora but misses other smaller flows to non-OECD destinations such as Venezuela. The LPR series lags actual emigration by at least one year and one day under the Cuban Adjustment Act adjustment process; USCIS processing times may add further variability to the observed lag. The analysis also lacks within-Cuba variation and household-level microdata, which prevents tests of household-level predictions, including the prediction that *cuentapropistas* migrate less than non-*cuentapropistas* and that households in provinces with higher house values migrate at higher rates. Provincial migration statistics and household-level microdata linking self-employment status to emigration outcomes could shed light on these questions in future work.

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